

Business Environment — PREVIEW

Course: CPA — Certified Public Accountant | Level: Foundation Level 1
This is a free preview covering the introduction and Section 1–2 only.

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1. Nature and scope of business

A business is an organisation that combines resources — land, labour, capital, and enterprise — to produce goods or services with the aim of satisfying customer needs, usually in pursuit of profit (though not-for-profit and public-sector entities pursue non-financial objectives with the same resource-combination logic).

1.1 Factors of production

Factor	Description	Reward
Land	Natural resources used in production	Rent
Labour	Human physical and mental effort	Wages/salaries
Capital	Man-made resources used to produce further goods (machinery, buildings, finance)	Interest
Enterprise	The risk-taking, organising, and decision-making function	Profit

1.2 Why businesses exist

- To convert inputs into outputs more efficiently than individuals could alone (division of labour, economies of scale).
 - To bear risk on behalf of society in exchange for the prospect of profit.
 - To create employment and generate government revenue through taxation.
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2. Forms of business organisation

Form	Legal status	Liability	Key feature
Sole proprietorship	Not a separate legal entity	Unlimited	Owner keeps all profit, bears all risk, simplest to start
Partnership	Not a separate legal entity (in most common forms)	Unlimited (general partners)	Governed by a partnership agreement; partners share profit/loss and management
Limited liability partnership (LLP)	Separate legal entity	Limited to capital contributed	Combines

partnership flexibility with limited liability |
Private limited company	Separate legal entity	Limited to unpaid share value	Shares not offered to the public; restricted transferability
Public limited company	Separate legal entity	Limited to unpaid share value	Can offer shares to the public, may list on a stock exchange (e.g. Nairobi Securities Exchange)
Co-operative society	Separate legal entity	Limited (member shares)	Owned and controlled by members for mutual benefit, one-member-one-vote
State corporation / parastatal	Separate legal entity, government-owned	Limited	Established by statute to deliver a public service or strategic function

Unlock the full paper

The complete version includes 13 sections, a full worked case-study question, and a 10-question original self-assessment kit with model answers — covering PESTEL analysis, stakeholder mapping, entrepreneurship, corporate governance, CSR, government/law, international business, and communication.

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